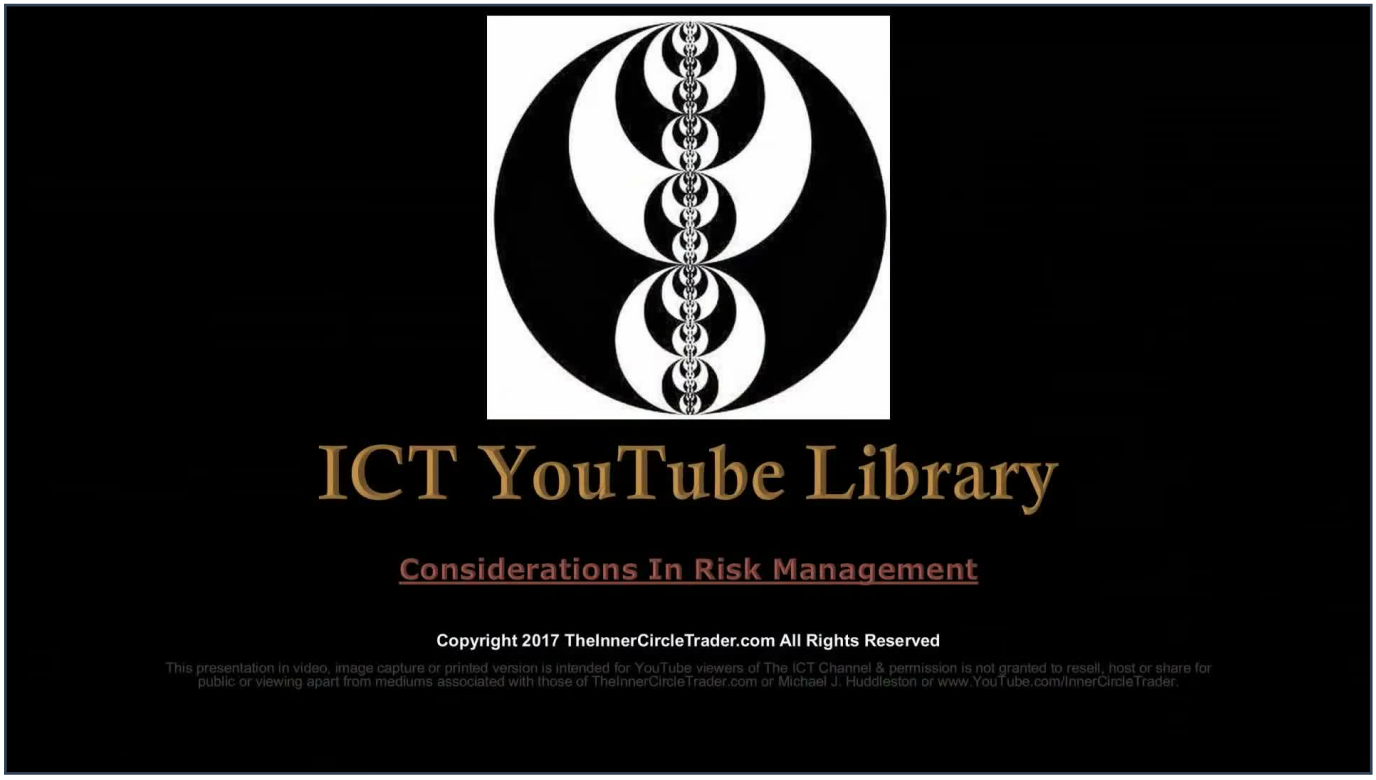
ICT MENTORSHIP CORE CONTENT

ICT FOREX - CONSIDERATIONS IN RISK MANAGEMENT



This teaching will be specifically dealing with considerations in risk management. This module hopefully will be a little bit more of a server reminder about how we should be looking at risk and how we can manage risk to survive and have longevity in our trading.

Maybe you had this in mind when you first got into the trading after all the guy that sat down with you before told you, 'hey this meth is so good you risk 10% of your equity it's gonna make you money.' Okay, if you have equity balance of $10,000, you're gonna risk 10%. Now the first loss you assume, guess what, you just took out a $1,000 loss. System says continue risking 10%, so what do you do? You get anything, you take the next rate, bang, you hit with a $900 loss. Your equity now sits at $8,100. Three losses, you hit with another $810 loss, bang, your account's now $7,290. This goes on for what could easily be seen in anyone's trading: eight string loss. Eight string loss that is absolutely realistic guys. I don't care how good a trader you are, you're going to get this upside your head one day and you need to be prepared for it.

Equity	Risk 10%	
$10,000.00	$1,000.00	Loss 1
$9,000.00	$900.00	Loss 2
$8,100.00	$810.00	Loss 3
$7,290.00	$729.00	Loss 4
$6,561.00	$656.10	Loss 5
$5,904.90	$590.49	Loss 6
$5,314.41	$531.44	Loss 7
$4,782.97	$478.30	Loss 8

If you're gonna risk 10% of your equity simply because you think you're gonna be hitting it on the next trade and you've been in drawdown, there's a psychological impact that traders go through and we more or less deny the technicals that may be indicating that we're in a trade that's not gonna pan out but we won't let go of it. We start armwrestling with the market because hey, you know, we're gonna be right and it's gonna feel so good when we are and we can give the middle finger, not to be crude, to the screen. You know, cuts at the screen, you know, say 'I got you, I got my money back.' Everybody wants to have that tough, you know, that that feeling of conquering the market and beating the guy that took the money from you last time. Everybody wants to go into the end zone, slam football down and do their victory dance and all that, but that doesn't work in this business and they'll hand you your head on a platter if you give them the opportunity to take your money. In a lot of it, they're gonna be more than happy to take it from you.

Equity	Risk 10%	
$10,000.00	$1,000.00	Loss 1
$9,000.00	$900.00	Loss 2
$8,100.00	$810.00	Loss 3
$7,290.00	$729.00	Loss 4
$6,561.00	$656.10	Loss 5
$5,904.90	$590.49	Loss 6
$5,314.41	$531.44	Loss 7
$4,782.97	$478.30	Loss 8

Equity Drawdown Of $5,217.03

Percentage Drawdown 52.17%

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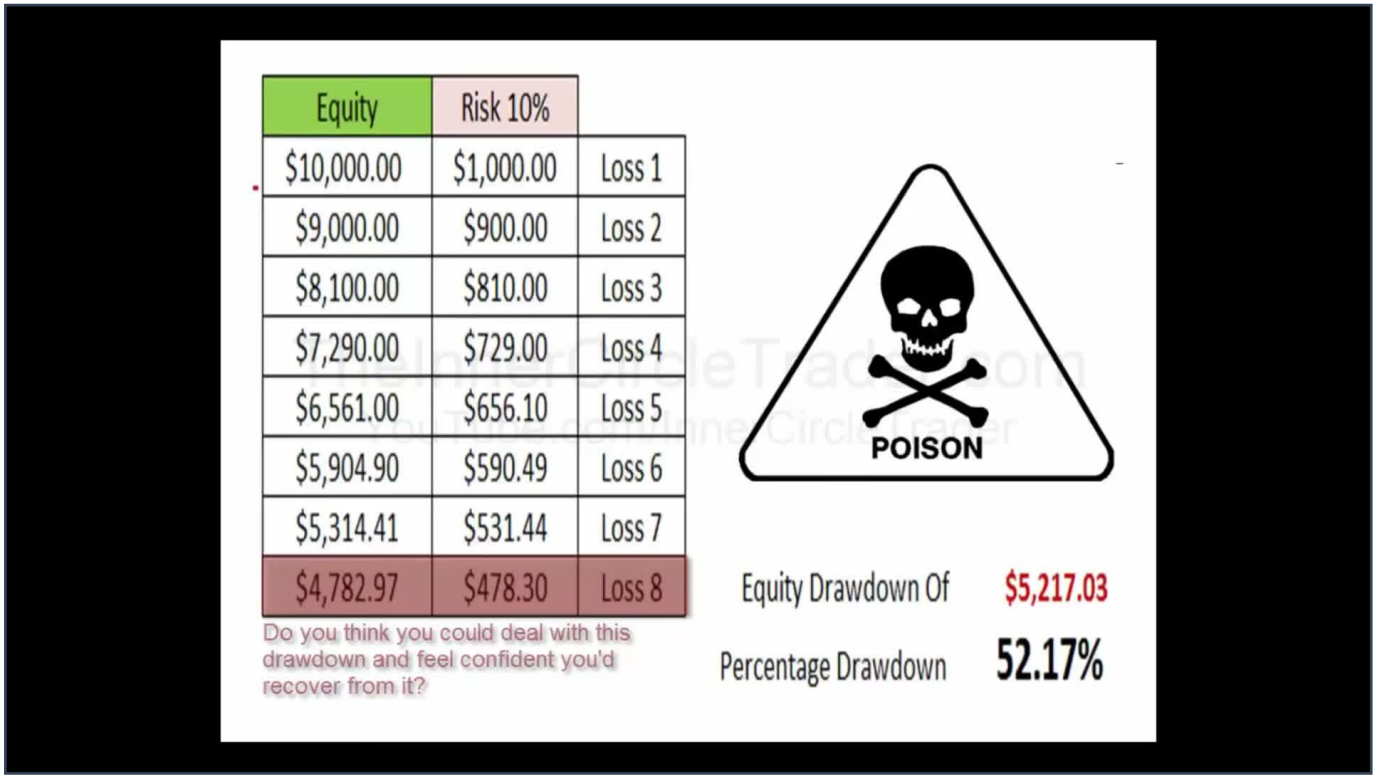
If you just take an eight loss streak here and your equity of $10,000, your count draws down $5,217. That's 52%. 52% folks, you think you can take eight trades in a single week the way some of you guys on these forums trade? This could happen in a day. Now I'm not saying that most of you guys aren't risk that are risking 10 percent, you know, but there are some neophytes that come into this business and think they're gonna be able to do it and I'm sorry, but you know, maybe you'll come off the gate, make a couple wins and think, 'man, yeah, I'm risking 10 percent and look it's it's really working out well.' But man, I'm telling you this, that cycle leads to destruction. All right, just eight trades, look at this, if you have eight losses you're crushed. That's that's a huge draw down not not to mention the emotional impact and your mental equity because not only are we trading with real tangible money, currency in our account, that equity base is not limited to dollar terms. You have an equity amount of money in your mind what you're really willing to absorb in risk. You may have put $10,000 on account, but man you don't really want to be losing 4,000 of it, so what are you really trading with? $4,000. That's your mental capital.



So we're gonna talk more about that when we get into wealth building money management. But for now, understand that risking 10% absolutely should be no-brainer for you, you don't do that.

Equity	Risk 5%	
$10,000.00	$500.00	Loss 1
$9,500.00	$475.00	Loss 2
$9,025.00	$451.25	Loss 3
$8,573.75	$428.69	Loss 4
$8,145.06	$407.25	Loss 5
$7,737.81	$386.89	Loss 6
$7,350.92	$367.55	Loss 7
$6,983.37	$349.17	Loss 8

Equity Drawdown Of $3,016.63

Percentage Drawdown 30.17%

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Okay, maybe you're so turned off by 10 percent, but hey, you know, you're not too afraid of taking risks to 5%. For traders, you know, it's doable for you. $10,000 starting account, okay. First lost, bang, $500 loss. Now your account drops down to $9,500. You do this for a couple series of losses, you know, at the fifth loss, okay, now your account's down to $7,737. But hey, you're gonna make it back and you're not gonna bend 5% risk on every trade. Well with the standard typical eight string loss that can happen to anybody. I'm not saying gonna have this once a month, I'm not saying you gonna have it, you know, three times a year, but it's gonna happen eventually. If you are in this business at any length of time you will suffer an eight loss string, it's gonna happen. If you had the risk of 5% per trade starting with equity balance of $10,000, your equity will draw down to the tune of $3,016 or 30% drawdown. Can you can you withstand that? Can you imagine taking a trade in a single week and being drawn down 30%?

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$10,000.00	$500.00	Loss 1
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Percentage Drawdown 30.17%

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Let me tell you something, I have done that. I have done that, okay, and it is absolutely demoralizing because if you come out the gate strong thinking, 'yeah man I'm gonna I'm gonna tear it up,' oh yeah, you're gonna tear it up, all right, you're gonna tear up your account, okay, and you're gonna sit there and you'll be depressed for the entire weekend. You're gonna go over possibly adding more money when that's not the answer. The answer is is controlling the amount of money that you put up and controlling yourself. It's very difficult when you're in a period of drawdown if you're a new trader. I'm talking from experience, okay, when I got involved with commodities I was trading, you know, five and six seven contracts of Chicago portrayed wheat and really my balance really should have been working with one madam contract. And I'm not gonna go into contracts and specifications for commodities but I'm just saying that I was over leveraging and the worst part of it, I knew I was over leveraging and when I was losing it didn't hurt enough. I was going to be right, I was imposing my will in the market and I'm telling you, you will lose doing that. It will hurt you doing that. You don't gain anything from that except for misery and depression, trust me, I know.

FINAL VERDICT ON 5 PERCENT RISK

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Equity	Risk 5%	
$10,000.00	$500.00	Loss 1
$9,500.00	$475.00	Loss 2
$9,025.00	$451.25	Loss 3
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Equity Drawdown Of $3,016.63

Percentage Drawdown 30.17%

Okay, so 5% risk is absolutely too much, it's insane, don't do it.

THE CONVENTIONAL 2 PERCENT RISK: TRADER ONE'S EXAMPLE

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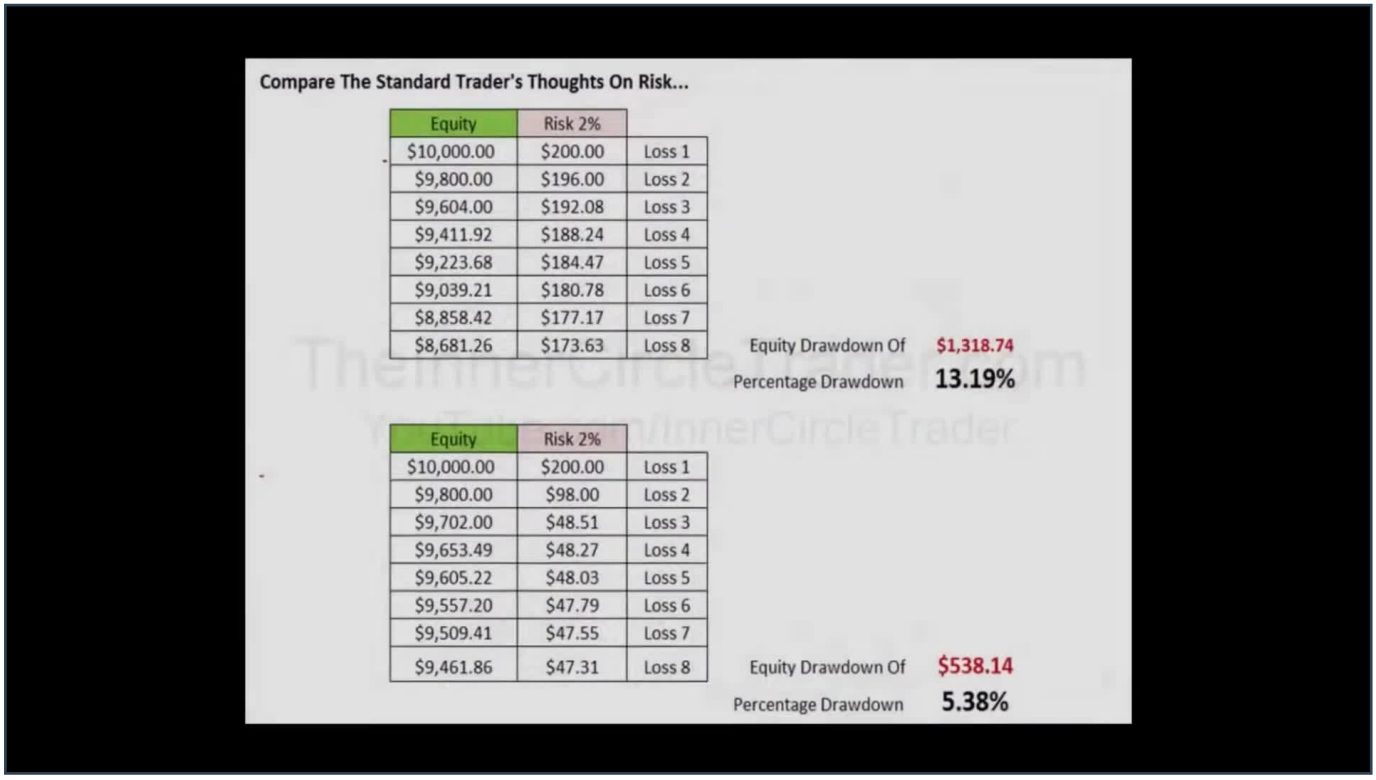

Compare The Standard Trader's Thoughts On Risk...

Equity	Risk 2%	
$10,000.00	$200.00	Loss 1
$9,800.00	$196.00	Loss 2
$9,604.00	$192.08	Loss 3
$9,411.92	$188.24	Loss 4
$9,223.68	$184.47	Loss 5
$9,039.21	$180.78	Loss 6
$8,858.42	$177.17	Loss 7
$8,681.26	$173.63	Loss 8

Equity Drawdown Of $1,318.74

Percentage Drawdown 13.19%

Equity	Risk 2%	
$10,000.00	$200.00	Loss 1
$9,800.00	$98.00	Loss 2
$9,702.00	$48.51	Loss 3
$9,653.49	$48.27	Loss 4
$9,605.22	$48.03	Loss 5
$9,557.20	$47.79	Loss 6
$9,509.41	$47.55	Loss 7
$9,461.86	$47.31	Loss 8

Equity Drawdown Of $538.14

Percentage Drawdown 5.38%

All right, now let's look at the typical trader's thought going in, this is the standard mentality of all traders if you read it on all the farms, all the books. We all say, and I preached it too, 'don't risk any more than 2% per trade.' All right, okay, we're gonna look at trader one up here at the top, okay. You have one trader starting with an equity balance of $10,000 and he's gonna risk 2% per trade and he runs into the inevitable eight string loss, it's gonna happen. Well, the account draws down after eight losses $1,318. Total percentage drawdown 13%. Yeah, you could probably withstand that. I mean most traders could absorb that, certainly new trades because they're in there invincible and they're eventually going to be in the next streak where they make 100% accuracy, so this is absolutely, you know, within the realm of comfort for most people if they have a $10,000 equity balance and the only drawdown, you know, $1,300 bucks, most people can absorb that.

Equity	Risk 2%	
$10,000.00	$200.00	Loss 1
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$9,702.00	$48.51	Loss 3
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Equity Drawdown Of $538.14

Percentage Drawdown 5.38%

But let's flip the script for a moment, look at trader two, okay. He starts with $10,000 too, and he's starting with 2% risk. Watch what happens. His first loss at 2% is $200. Suddenly he has a problem. He has absorbed a loss, something's gonna take place in this trader's mind that didn't take place in the first trader's mind. So his next trade, he only loses $98, but it's still a loss. So the next trade he takes is what? A loss of $48. Look at just after three losses, the difference in terms of equity. Where are we at? Essentially in the same neighborhood, but look what happens over the period of the eight losses. Trader two after eight string loss, his account draws down $538. Total percentage draw down 5%. Do you see a difference there? What do you think trader two did differently that trader one didn't do? Number one, he identified the fact that he's not perfect. He identified, or she rather in deference to the ladies that are watching this, area oh sorry gals. The second trader here in our case study, when he absorbs a loss, okay, he only takes one to do this, the first loss, immediately he cuts his risk in half. So no longer is he risking 2%, so now he has dropped down to $200. So he risks on the next trade when his account equity is at $9,800, he's gonna risk 1% per trade.

Compare The Standard Trader's Thoughts On Risk...

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Equity Drawdown Of **$1,318.74**

Percentage Drawdown **13.19%**

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Equity Drawdown Of **$538.14**

Percentage Drawdown **5.38%**

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Now he assumes another loss, does he stay at 1%? Absolutely not. What does he do? He drops down to one half of 1%, so his next trade he has a loss, $48.50. God, you can take that, if you got $9,700 in your account and you can lose $48, you can lose 50 bucks. You're not losing sleep over that. If you could use if you lose sleep over that type of loss with the equity balance of $9,007, stop trading, it's not for you. Go go bet at the horse races and you can play lottery something like that. But I'm telling you, you have to assume some kind of risk, you know, this goes along with everything that's been discussed at the beginning of the disclaimers. I mean, you have to understand, you're gonna lose money in this business and if you're not comfortable with losing money on a consistent basis where you're not perfect, bottom line is stop trading. Okay, I have losses, you're gonna have losses too. I can't teach you how to trade perfectly without losses, no one can. You're not gonna be able to find it and if that's the Grail you're looking for, it doesn't exist, trust me, it doesn't exist because I'd pay everything I have for and it's not there, trust me.

COMPARING OUTCOMES: TRADER ONE VS. TRADER TWO (8 LOSSES)

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Compare The Standard Trader's Thoughts On Risk...

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Equity Drawdown Of **$538.14**

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So let's keep this train rolling here, okay, after he drops his equity risk to one half of one percent, okay, he has another loss, the fourth loss, okay, $48.27. Well he takes another loss, he stays at one half of one percent. Look what happens at the end of his eight losses, he's got a huge amount of his starting equity still at his disposal and he suffered eight losses, he hasn't had one winning trade yet. Now contrast that with trader one, this guy, he's down $1,300. Trader two, he's only down $538. The 5% drawdown is absolutely tolerable in anyone's trading. I mean you're gonna you're gonna suffer five percent, good grief, five percent you know that's what you're trying to make, you know, in a day some some of you guys that are trading.

Compare The Standard Trader's Thoughts On Risk...

Equity	Risk 2%	
$10,000.00	$200.00	Loss 1
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You have to control your risk, okay. If you have a loss, cut your risk. If you have another loss, cut your risk, trade and drop down to one half of one percent. Now if you have five or six trades then you've lost that half of one percent, drop it down to a quarter percent, okay, whatever suits your risk appetite, that's what you have to do but you have to go the other way. You do not, you do not average down. You don't take, 'well I lost 2%, mean risk for now because if it all it takes is one trade and I'll make that back and pay maybe even make the 2% I was hoping to make on the previous trade that lost or I only have to make, you know, half of what I lost in terms of pips on the last trades, I risk four percent.' Don't do that guys. I've done it. I'm telling I've done it. Granted, I'll go give you this and I'm gonna be fair, there's been times where early on I did it and it worked out in my favor but when I tried it later on it crushed me and it never gave it back to me. It took more and it took more and it took more and I'm telling you, it is a loser's game, trust me, I know this by firsthand experience. It never pans out over time, doesn't happen, okay, so just don't do it. If you have a loss, cut your risk, cut your risk, cut your risk, all right.

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$9,367.48	$46.84	Loss 10
$9,320.64	$46.60	Loss 11
$9,274.04	$46.37	Loss 12
$9,227.67	$46.14	Loss 13
$9,181.53	$45.91	Loss 14
$9,135.62	$45.68	Loss 15
$9,089.95	$45.45	Loss 16
$9,044.50	$45.22	Loss 17
$8,999.27	$45.00	Loss 18
$8,954.28	$44.77	Loss 19
$8,909.51	$44.55	Loss 20
$8,864.96	$44.32	Loss 21
$8,820.63	$44.10	Loss 22
$8,776.53	$43.88	Loss 23
$8,732.65	$43.66	Loss 24

Equity Drawdown Of $1,267.35
Percentage Drawdown 12.67%

Now let's assume, let's stretch this out a little bit, all right. Trader one had a drawdown of $1,300, okay, on eight losses, not one trade was a winner, all eight were losers. Well, look at trader two, let's assume for a moment the guy hits and he's got a bad run, you know, he's got some problems in his personal life, you know, nine to five getting him, you know, stressed out, his boss is driving him crazy, you know, he's rushing trades, he's not following the system, he's not feeling well, he's spending too much time in the forms and not really studying the charts. It's something that's keeping him from being disciplined, okay. He's not hitting on all four, you know, on all cylinders, something's wrong. Maybe he's got a system that doesn't work. Maybe he hasn't abandoned his bad habits. Bottom line is, is he's not made a profitable trade yet. Look what traitor two can absorb. He can absorb three times the amount of loss that traitor one can following the same approach. The first loss risking 2%, he only draws down to $9,800. Second loss risking 1% now 'cuz he's trimmed back to his risk, he only loses $98. His drawdown goes to $9,700 in his account. Now he's at 1/2 of 1% and he stays there, okay, all the way through up to 24 losses. This gentleman or young lady could have a loss string of 24 losses and still be less than the first trader. Think about that, this guy or gal can have 24 losing trades and still have lost less than the first trader on 8 trades because he didn't augment his risk exposure.

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Percentage Drawdown 13.19%

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You have to control the amount of risk in your account. If you do not do this, no one's doing it for you. I can't do it for you, your wife can't do it for you, your husband can't do it for you, the kids can't do it, the broker certainly ain't gonna do it, okay, so you have to have this in your plan. It has to be mounted on the wall, tattooed on your hand, it's got to be on your forehead so when you see yourself in the mirror you see this all the time: control risk. I can't stress it enough, nobody talks about it enough and you have to do this. You absolutely have to do this, okay. This will give you the the viagra effect, not to be crude, but it gives you the staying power. You have to be able to absorb losses. So I'm telling these banks, they're ruthless. As good as my methods are, I still get slapped around sometimes, okay, it's gonna happen. Now granted when we drop down to half a percent, okay, we're not probably going to make a whole lot of money coming back out of it, sure, that's fine, but there's a there's a strategy that we're implying that goes a long way in terms of a profitable career, okay. If you can absorb 24 losses and only have 12% drawdown, you're controlling risk. There's not a trader out there, okay, that can beat their chest and say, 'I've been trading for five, eight, ten years, okay, and I've never had an eight-string loss.' Okay, I'm telling you that they don't don't, that's a unicorn, they don't exist, okay, so you're gonna have strengths or losses. I'm showing you how even I've never had 24 losses, I'll give you that, I've never had a string of 24 losses, but I've given you a shield, okay, I've given you a mindset when you step out in that arena and risk your capital and you risk your money, this is your only defense, this right here, okay. It's not the trade signals, okay, it's not the amount of money you put in the account to start with, it's the amount of money you put up because whatever you offer them in your hand open palms, they're gonna take it if they can. So if you give them a large percentage of it, all you're doing is enticing more interest in taking it from you, okay.

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$9,411.92	$188.24	Loss 4
$9,223.68	$184.47	Loss 5
$9,039.21	$180.78	Loss 6
$8,858.42	$177.17	Loss 7
$8,681.26	$173.63	Loss 8

Equity Drawdown Of $1,318.74
Percentage Drawdown 13.19%

So the moral of the story is if you have a loss, cut your risk. If you look if you have a loss again, you cut your risk and you drop down to 1/2 of 1%, okay, and you stay there until we have a turn in equity and when you start making money and start being profitable, okay, there's a way of going back to the original risk exposure. Say your maximum risk exposure is 2% per trade, okay, how do we how do we compensate for that? How do we get back to that that point? Well, let's talk about that now, how how do we how do we go forward with this information, okay?

Equity	Risk 2%	
$10,000.00	$200.00	Loss 1
$9,800.00	$98.00	Loss 2
$9,702.00	$48.51	Loss 3
$9,653.49	$48.27	Loss 4
$9,605.22	$48.03	Loss 5
$9,557.20	$47.79	Loss 6
$9,509.41	$47.55	Loss 7
$9,461.86	$47.31	Loss 8
$9,414.55	$47.07	Loss 9
$9,367.48	$46.84	Loss 10
$9,320.64	$46.60	Loss 11
$9,274.04	$46.37	Loss 12
$9,227.67	$46.14	Loss 13
$9,181.53	$45.91	Loss 14
$9,135.62	$45.68	Loss 15
$9,089.95	$45.45	Loss 16
$9,044.50	$45.22	Loss 17
$8,999.27	$45.00	Loss 18
$8,954.28	$44.77	Loss 19
$8,909.51	$44.55	Loss 20
$8,864.96	$44.32	Loss 21
$8,820.63	$44.10	Loss 22
$8,776.53	$43.88	Loss 23
$8,732.65	$43.66	Loss 24

Equity Drawdown Of $1,267.35
Percentage Drawdown 12.67%

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Well, when we experience a loss, the first thing you want to do is number one - reduce risk. That's the absolute first thing you think in your mind, not 'let me get that, try to get my money back.' No, you cut risk. Why? Because you already have a state of mind where you feel you're victimized, okay. I don't care how long you've been trading, losses still haven't have an impact, okay. I don't like losing, I hate losing, okay, because my method wins more than it loses when it happens, I don't like it, okay. But I don't beat myself up about it and go in I said, 'well, you know, I lost $500, I'm gonna get intrigued and I'm gonna try to, you know, make $2,000 on the next trade because I lost five, I want to get four times as much money back, I wanna do it in half the time.' I don't think like that anymore, I did, I'm gonna give you this, I did think like that years ago but I don't need to do that anymore, okay, and you don't need to do that now. If you haven't adopted that bad habit, this is hopefully keep you from doing it.

- If you take a loss of 2%, the next trade you will only assume 1% risk.

- Should this trade result in a loss, the next trade will only assume 1/2 of 1%.

- You will only risk 1/2 of 1% per trade until you have made at least 50% of the drawdown of the equity dip from the trade risking 1% of equity. So in other words, the trade that you lost when you were risking 1%, whatever that amount is, let's say it's $500, you need to make $250 risking 1/2 of 1% before you can trade up to the 1% risk per trade tier, okay.

- Now you're gonna risk 1% per trade until you make at least 50% of the equity dip that you used when you risked 2% per trade, okay. So again, if you're risking $500 when you were risking 2%, at 1% risk you need to make at least $250 before you go back to risking 2%.

- If you lose, you go back to that system again, you drop, cut it in half, cut it in half, cut in half and now you

have an opportunity to step back and say, 'okay, I can take some blows, I can get knocked around but I'm not getting taken out of the game,' okay.

Equity	Risk 2%	
$10,000.00	$200.00	Loss 1
$9,800.00	$98.00	Loss 2
$9,702.00	$48.51	Loss 3
$9,653.49	$48.27	Loss 4
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$8,732.65	$43.66	Loss 24

Equity Drawdown Of $1,267.35
Percentage Drawdown 12.67%

So now hopefully, hopefully with this presentation you can breathe. There's a way of doing it guys, okay, and this is how it's done. You can't stay in this business without controlling your risk, that's the morale. Let's stick to the game plan, stick to the method of controlling risk using this approach and I absolutely guarantee, okay, you want the holy grail, this is the holy grail, this is it. You have to have a shield in this business, if you don't your money's going to come to me, it's going to go to the central banks, it's gonna go to the guys that know how to do this, okay, because I'm gonna be in the game years from now, you know, and I'm gonna still apply this approach when I have losses, this is how I do it. This is what kept me in the game as long as it has been. It's going to be a concept that I hold closest to me because this is more important than my entry signals, this is more important than my access. This is the absolute key in cornerstone to long-term success in careers in training.